

Article | 16 September 2026

FX RATES UNITED STATES

Federal Reserve hikes 25bp, suggests another to come

The Federal Reserve raised the policy rate 25bp and signalled they may raise rates a second time before a long hold throughout 2027.

Nonetheless, we see more labour slack than the Fed and remain a little more optimistic on the inflation backdrop. If we see a resumption of energy flows from the Persian Gulf, the situation would favour a "one and done" outcome



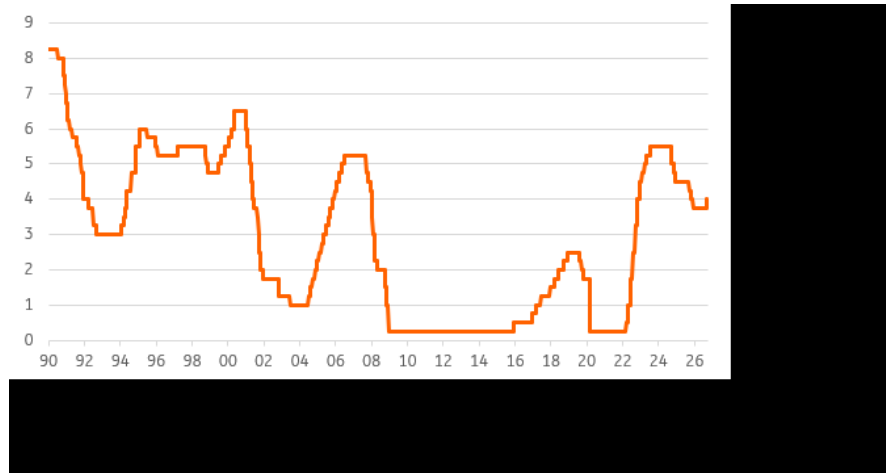
Fed Chair Warsh at today's press conference in which interest rates were raised by 25bp

Fed hike to "support a timelier return" of inflation to target

The Federal Reserve has hiked rates 25bp to a target range of 3.75–4%, as widely expected. Markets had moved to swiftly price such an outcome in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, with subsequent hotter-than-anticipated jobs and core inflation data merely making it a formality.

The decision was unanimous and the press release was brief, as it has been after all three decisions under Warsh's leadership. Economic activity is "solid", but uncertainty and inflation remain "elevated". Nonetheless, today's decisions will "support a timelier return to the Committee's 2 percent goal".

Fed funds ceiling rate (%)



Source: Macrobond, ING

Fed points to one more hike followed by a long hold

In terms of the guidance, the central projection within the Fed's summary of economic projections has one more rate hike this year, in line with market pricing, with the central range holding at 4.125% through 2027. They then have the mid-point of the Fed's funds target range at 3.875% for 2028 and 3.625% for end-2029 and 3.25% for the "longer run". This is a higher profile range than they projected in June, but is below the market pricing of three additional 25bp hikes.

Federal Reserve's economic projections

	2026	2027	2028	2029	Longer run
Change in real GDP (4Q YoY%)	2.3	2.4	2.2	2.1	2.0
Previous Fed projection (June)	2.2	2.3	2.2	-	2.0
Unemployment rate (% year end)	4.1	4.1	4.1	4.1	4.2
Previous Fed projection (June)	4.3	4.3	4.2	-	4.2
Core PCE inflation (4Q YoY%)	3.4	2.5	2.2	2.0	2.0
Previous Fed projection (June)	3.3	2.5	2.1	-	-
Federal funds rate (year end)	4.125	4.125	3.875	3.625	3.25
Previous Fed projection (June)	3.8	3.6	3.4	-	3.1

Source: Federal Reserve, ING

Within the actual dot plot there are only 18 submissions, suggesting Kevin Warsh again declined to offer a view. Only 2 of the 18 FOMC submissions had no further rate hike this year, suggesting strong backing for another move, and similarly, there are only 4 of 18 that expect to see any sort of rate cut next year. There are 8 of 18 expecting the policy rate mid-point to be 4.375% (2 additional hikes) by end-2027. So this is a more hawkish Fed than in June with them revising up inflation and growth and revising lower unemployment projections despite

the data trends suggesting it should be the other way round - in our view.

Indeed, our growth, inflation and jobs forecasts suggest little need for further rate hikes, and it may well be that the Fed are striking a hawkish line in order to build more credibility with bond markets as they look to support Treasury efforts to anchor the long end of the curve.

One and done remains our call

Ordinarily the assumption is that if the Fed hikes, they don't move just once, and indeed their forecast table does have a further hike pencilled in. However, this time around we think it may end up being a one-off. While August's jobs number was a healthy 162,000, between January 2025 and July 2026 the monthly average increase was a measly 31k with hiring indicators suggesting a reversion to that far slower growth rate is likely. Furthermore, while the unemployment rate is low at just 4.1%, the worker participation rate has plunged a full percentage point since early 2025. This suggests there is worker disengagement and more slack in the jobs market than looking at the unemployment rate alone indicates. It is hard to argue against that when wage growth is running at just 3%.

That weak wage growth will be helpful in keeping inflation in check and with the inflationary impulse from tariffs largely incorporated – and IEEPA tariff refunds being a cash flow boost – lower cost pressures here help mitigate higher energy and fuel costs. Furthermore, the shelter component, with a 35% weighting in the CPI basket, should continue to moderate given the stagnant property market and cooling private sector rents. The key uncertainty is energy and the lack of progress surrounding oil and gas flows from the Strait of Hormuz, which has meant headline disinflation has stalled. Nonetheless, our geopolitical assessment is that the situation will improve, and oil prices will resume their declines later in the year, which will rapidly improve the inflation backdrop.

Given market and consumer inflation expectations remain in check, we see parallels with the late 1990s – cuts in early 1996 before a pause, then a one-off 'risk management' hike enacted by Alan Greenspan's Fed in March 1997 before a long pause through late 1998.

The Fed calms the back end, but we'd not be getting too comfortable on it ahead

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

FX: Hawkish hike reinforces dollar momentum

The Fed's message of policy discipline is likely to raise the bar for de-basement trades to re-emerge anytime soon. That should limit downside risks for the dollar, leaving it better placed to benefit from supportive external drivers. As long as energy prices remain firm, we see little reason to fade the current USD appreciation trend.

With the door still open to additional tightening, the dollar also retains upside risk around upcoming data releases. Strong prints could bring hike expectations forward to October, where markets currently price 11bp.

EUR/USD broke below 1.150 after the announcement, and there is little in the way of obvious support before the 1.1330-1.1360 area, where the June decline found a floor. That is likely the extent of near-term downside risk. Our forecast remains more optimistic, albeit heavily reliant on an improvement in the Gulf situation and rapid oil decline by year-end. We target 1.150 for end-September and a modest bump to 1.160 by year-end.

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Article | 11 September 2026

JAPAN

Bank of Japan preview: 25bp hike incoming

The Bank of Japan meets on 18 September to set rates. A 25bp hike to 1.25% is widely expected, with the market close to pricing in a further 25bp hike by the end of the year. Money market rates have surged since June, raising the risk of a yen-negative reaction if the BoJ fails to confirm a more aggressive tightening cycle



Kazuo Ueda, Governor of the Bank of Japan

Why have rates moved so much?

The market's previous view on the BoJ tightening cycle had been that one 25bp hike would be delivered every six months. The terminal policy rate was always seen to be around 2.00%, but until recently investors expected the BoJ to take two years to get there.

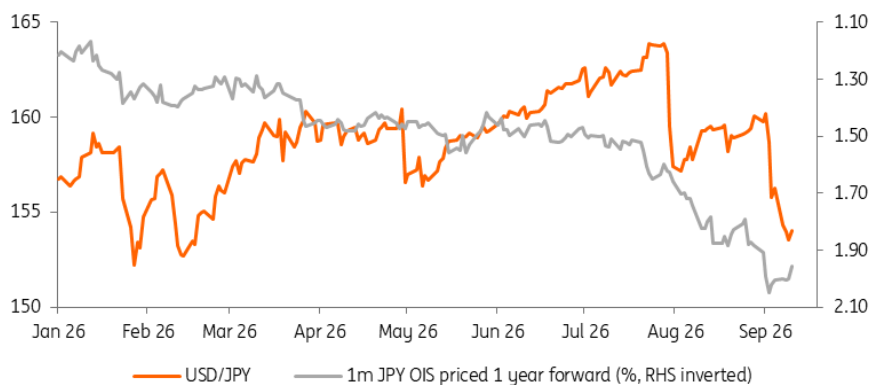
Since June, however, that pricing has shifted aggressively. One-month JPY OIS rates priced one year forward have risen a staggering 50bp since the start of July. What's changed?

It is hard to blame the renewed rise in energy prices for the re-pricing in money markets, since there was not a big re-pricing during the first surge in crude oil in March. Instead, it looks like the US Treasury's FX intervention in late July has played a significant role. Here, US Treasury

Secretary Scott Bessent has signalled that he expects the BoJ to raise rates at a quicker pace to provide macro support to the yen buying intervention.

Also helping the repricing has been local Japanese data. Real cash earnings rose by 2.4% year-on-year in July, reinforcing the narrative that producers will be able to pass on higher input costs.

Sharp repricing in short-dated rates weighs on USD/JPY



Source: Refinitiv, ING

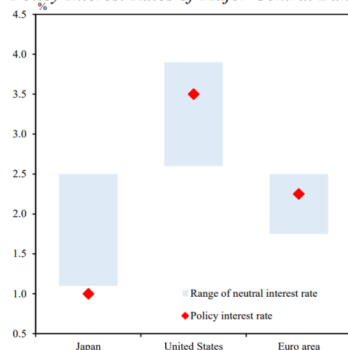
The BoJ's perspective

Formal communication from the BoJ this year has acknowledged that the real policy rate is negative and needs to be raised. Various BoJ speeches have discussed the concept of a neutral rate, which most see in the 1.1-2.5% range in nominal terms.

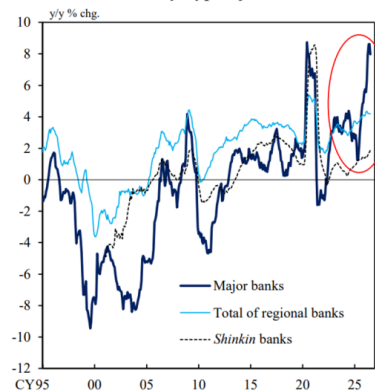
The diagram below has appeared in a few BoJ presentations recently and serves as a reminder that monetary conditions are too loose now that inflation is seen sustainably above 2.00% into FY2028. Among many of the positive charts in these presentations, one that stood out was the 10% year-on-year loan growth from 'Major Banks' – matching the peak from early 2020. Clearly, financial conditions are far from tight.

BoJ's views on neutral rates and loan growth

Range of Neutral Interest Rate and Policy Interest Rates of Major Central Banks



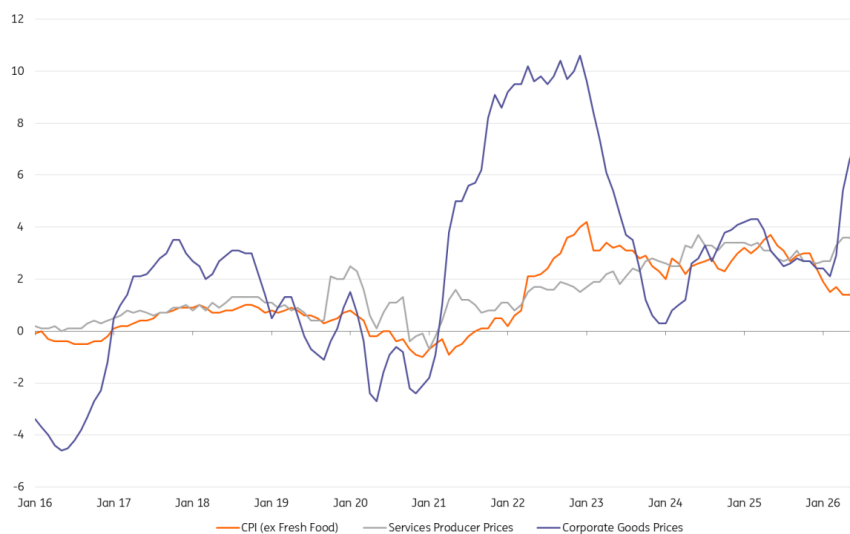
Loans by Type of Bank



Source: Bank of Japan

When it comes to prices, the BoJ narrative has firmly shifted towards inflation moving onto a sustainable path. One central theme now is that higher input/producer prices are more likely to feed through into broader CPI. The most recent Tankan business survey showed output price expectations rising sharply and the BoJ is focusing heavily on the 7% year-on-year growth in corporate goods prices.

Japan's measures of inflation (% , year-on-year)



Source: Refinitiv, ING

The decision

We doubt the BoJ would want to shock investors and Scott Bessent by leaving the policy rate unchanged at 1.00%. A 25bp rate hike to 1.25% looks likely. The marginally bigger risk than unchanged rates is a 50bp rate hike, perhaps as part of a broader understanding with Washington designed to sustainably push USD/JPY lower, reduce the need for large-scale dollar selling intervention from the BoJ and help stabilise JGBs.

However, the Japanese government has an aggressive pro-growth strategy and will no doubt express its views against a more aggressive tightening cycle. Maybe we are underestimating a shift here, but it is hard to see government officials backing a much faster tightening cycle of either a 50bp hike in September or back-to-back hikes in September and October. Instead, our house view is for two further 25bp rate hikes next January and April, which would take the policy rate to 1.75%.

A near-neutral 1.75% policy rate next April seems an appropriate target before the consumption tax on food and non-alcoholic beverages is cut from 8% to 1% that month for two years. That will sharply depress headline inflation – perhaps for the next two years – and would create a difficult environment in which to deliver further tightening.

FX: Yen bulls risk some disappointment

USD/JPY has already fallen sharply on expectations of faster BoJ tightening and speculation over major shifts in GPIF investment allocations, perhaps in late October. Before the BoJ meeting, USD/JPY will have had to contend with (ING's forecast) a Fed hike two days earlier and higher energy prices.

In FX, we see a greater risk that the BoJ fails to match heightened speculation over a follow-up rate hike in December, while October looks far too early. Equally, some may be disappointed if there is no news from the GPIF on the same day. If so, USD/JPY could be due a correction to the 157/158 area, where presumably more supply awaits ahead of potential policy announcements in late October.

For reference, the FX options market is pricing around a 200 yen pip range for USD/JPY on BoJ decision day.

Rates: The back-end to get more protection

The big theme going into this Bank of Japan meeting has been the marked widening of the carry spread (BoJ spread to the 2yr), which is out to the 80s bp area. That's the widest it's been during the current rate-hiking cycle. Typically, the widest carry spread would be at the initiation of the rate-hiking cycle. The fact that it's widest now points to a market discount for a degree of acceleration in the rate-hiking process. The absolute level of the carry spread points to the delivery of at least 50bp on top of the 25bp that we expect to be delivered at the upcoming meeting.

The 2/10yr curve in the meantime has flattened from the front end, broadly in tandem with the upside pressure that widened the carry spread. Indeed, longer tenor rates have managed to come off prior highs. This is particularly marked in the 30yr Japanese Government Bond benchmark yield. It had touched 4.2%, before gapping back down to just under 4% in the past couple of weeks. Much of this move gelled with the notion that the BoJ would inevitably hike at

the upcoming meeting, and for it to be a hawkish hike, one that was more cognisant of the inflation risks that had been compromising long-dated yields.

Delivery of a 25bp hike plus a hawkish tone should help consolidate, or at the very least, validate these moves. The 4+% area of the long end of the JGB curve remains a level that we would identify as offering structural value. Deep discount off-the-run low-coupon lines continue to offer generous absolute yields in the 5%+ region. These are remarkable valuations given where JGB yields have come from (practically from zero in 2019).

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Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

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Article | 18 September 2026

ASIA WEEK AHEAD CHINA INDONESIA

Asia week ahead: Indonesia rate decision, data on China, Taiwan, Singapore

Bank Indonesia is expected to keep interest rates unchanged. Markets will also focus on China's decision on loan prime rates, Taiwan's export orders and industrial production, and Singapore's inflation data



Asia Research highlights of the week

[China's weak domestic demand continues to undermine growth](#)

[Why India and Philippines aren't losing the AI battle – yet](#)

Indonesia: BI expected to hold rates at 5.75%

We expect Bank Indonesia (BI) to keep its benchmark rate unchanged at 5.75% on Wednesday. This follows a dovish pause in August and recent IDR appreciation driven by foreign inflows. However, we believe the rupiah could come under renewed pressure amid

broad USD strength, weak external balances, and declining FX reserves. As such, we continue to expect one final 25bp rate hike in the fourth quarter.

China: Loan prime rates expected to remain unchanged

China updates its loan prime rates on Monday. No change is expected, with the People's Bank of China having stood pat this month. Markets have pushed back expectations for a rate cut as policymakers opt for targeted measures such as interest rate subsidies, even as the rest of the world leans toward rate hikes. Conditions still support a rate cut before year-end amid slowing growth, low inflation, and weak credit activity. It's increasingly possible, though, that the move could be pushed into next year if China remains on track to hit its 2026 growth target.

Taiwan: Exports and industrial production to stay strong

Taiwan releases data on export orders and industrial production. We expect export orders to stay strong at around 60.9% year-on-year amid solid demand for electronic and information and communication products. Industrial production is also expected to remain strong, rising to 29.4% YoY.

Singapore: Headline and core inflation set to accelerate

We expect Singapore's headline and core inflation to accelerate in August on a year-on-year basis. Higher oil prices are likely to lift energy inflation, while El Niño-related supply disruptions should keep food price pressures elevated. Strong AI-related investment demand also could continue to support services inflation.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	
Monday 21 September				
China	0915	Sep Loan Prime Rate 1Y	3	3
	0915	Sep Loan Prime Rate 5Y	3,5	3,5
Singapore	1030	Q2 Unemployment Rate Final SA	-	2
Tuesday 22 September				
Taiwan	1600	Aug Unemployment Rate	-	3,3
	1600	Aug Export Orders (YoY%)	60,9	61,9
Wednesday 23 September				
Australia	0700	Sep Judo Bank Manufacturing PMI Flash	-	52
	0700	Sep Judo Bank Services PMI Flash	-	53,2
	0700	Sep Composite PMI Flash	-	52,7
Hong Kong	1630	Aug CPI (MoM%/YoY%)	-	0.2/1.7
Indonesia	1530	Rate Decision	5,75	5,75
Singapore	1300	Aug Core CPI (YoY%)	2.1	2
	1300	Aug CPI (MoM%/YoY%)	0.6/2.3	-0.2/2.2
Taiwan	1600	Aug Industrial Output (YoY%)	29,4	25,6
	1620	Aug M2 Money Supply (YoY%)	-	7,4
South Korea	0500	Sep BoK Consumer Sentiment Index	-	104,5
Thursday 24 September				
Japan	0830	Sep S&P PMI Composite	-	53,5
	0830	Sep S&P PMI Mfg	-	54,9
	0830	Sep S&P PMI Services	-	52,5
Australia	0930	Aug Unemployment Rate	4,5	4,5
Hong Kong	1630	Aug Imports (YoY%)	-	41
	1630	Aug Exports (YoY%)	-	50,7
Indonesia	1100	Aug M2 Money Supply (YoY%)	-	8,3
Singapore	1300	Aug Manufacturing Output (MoM%/YoY%)	-/-	2.3/6.8
Philippines	1300	Aug Budget Balance	-	-106,3
India	1930	FX Reserves (USD bn)	-	785,7

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Article | 17 September 2026

RATES SPARK

Rates Spark: Global long-end gets some relief from the BoE

Energy concerns eased somewhat, but long-end rates reacted more strongly to the Bank of England's decision to halt long-end gilt sales. In Europe, eyes also remain on France as the 2027 budget takes shape along with upcoming rating reviews



The Bank of England has decided to halt long-end gilt sales, leading to 30Y gilt yields dropping 30bp on the day

Bank of England getting creative with the very long end

The Bank of England surprised us with a big revamp of their quantitative tightening (QT) framework, helping 30Y gilt yields to go down 12bp on the day. Headlines first focused on the Bank's ambition to bring the entire bond portfolio down to zero over the coming years, which would add significant supply for the market to absorb. But the changes to the framework are more nuanced. For one, around £120bn gilts with the longest maturities will remain on the central bank's balance sheet, which means bonds maturing after 2049 will not be part of the active sales.

But perhaps a stronger signal to markets was the decision to pause active sales until April 2027 and explore a mechanism to transfer gilts from the Bank of England to the UK government treasury. Government-funded QT does not impact the total supply for the market to absorb,

since any purchases would have to be financed by new issuance. But it can help transform the maturity profile, and this is why 30Y gilts are taking a liking to the announcement. Longer-dated gilts will de facto be replaced by shorter gilt issuance.

Friday's events and market view

We will get the eurozone current account for July and the European Central Bank will release results of its inflation survey, where longer-run consumer expectations are expected to have nudged up on the back of energy prices. ECB President Lagarde will join the press conference following the ECOFIN meetings.

The US will release industrial production data for August. Fed officials scheduled to speak are Bowman and Schmid.

Some more attention will fall on France in the evening as DBRS (AA/Stable) and Scope (AA+/Negative) have scheduled potential rating reviews. Both ratings are higher compared to the three larger agencies (A+/Aa3/A+), but without a final budget yet, it might be premature to make any changes just now, especially more than just an outlook change. That said, PM Lecornu presented plans on Thursday to contain spending and keep the 2027 deficit at 5%. At 96bp, the 10y OAT/Bund spread remains at its highest levels since 2012, reflecting unease ahead of next year's presidential elections.

Other scheduled rating reviews from the three major agencies are for Ireland (S&P AA+/Stable), Germany (Moody's Aaa/Stable) and Greece (Moody's Baa/Stable).

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Article | 17 September 2026

CZECH REPUBLIC

CNB Review: A hike is in the air

Czech board members left the policy rate unchanged at 3.75% in a unanimous vote. The press conference may have made only a slightly hawkish impression, yet we detect a firm conviction for tighter monetary policy if warranted. Our inflation forecast supports a rate hike in November, particularly under our scenario of elevated oil prices



The CNB kept rates on hold at the September meeting but hinted that rate hikes could be coming

Slightly hawkish tone with firm conviction

The Czech National Bank left the policy rate unchanged at 3.75% in a unanimous decision. We read the CNB presser as slightly hawkish, with clear hints that tighter monetary policy remains on the table if needed. The Board deems the overall risks as pro-inflationary, especially due to persistently elevated house price growth and stubborn core inflation. Robust credit activity, potentially expansive fiscal policy, and potent wage growth also point to risks to price stability in the medium term. The governor made clear that the next meeting in November will be a choice between stable rates or a rate increase, without signalling a preference for either outcome in a rather balanced assessment. Those expecting rates to remain on hold may point to phrases such as *long-term* price stability, while those in favour of a rate hike may focus on the preference for a strong koruna.

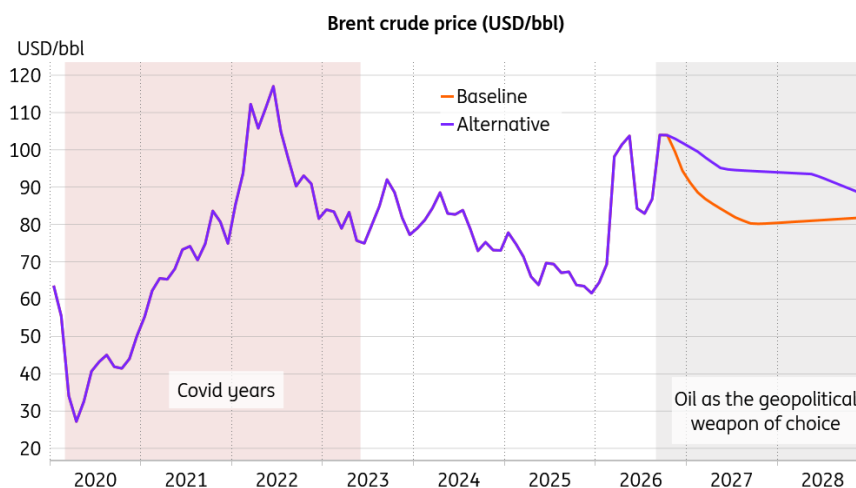
In any case, given our rather punchy inflation forecast, we shift to a single rate hike in

November as our baseline scenario. That said, we are ready to unwind the call should signals on regulated price adjustments in January suggest a much milder outcome than we expect and/or the conflict in the Middle East or Ukraine de-escalate substantially, implying a tangible and lasting decline in oil and natural gas prices. Things have changed, and the Board may be pushed towards a tighter monetary policy stance, even though we fully understand its preference to remain in wait-and-see mode for some time. So, unless the expected increase in inflation at the turn of the year is decisively viewed as a temporary upsurge, driven solely by energy prices with few second-round effects, we think the case for a rate hike will prevail. For now, it seems like a close call, with a 60% probability for a rate increase and 40% for the base rate to remain unchanged.

Oil prices have been too high for too long

We are increasing our inflation forecast in light of the latest developments, notably the escalation of the conflict in the Middle East that has driven Brent crude prices above \$100/bbl once again. Considering the elevated oil and natural gas prices, a weaker koruna outlook, and the long-awaited monthly gain in agricultural producer prices, all inflation subcomponents as defined by the CNB are becoming stronger. Pricing in agriculture surprised slightly to the upside in August, marking the first upside surprise after a series of weaker-than-expected readings and signalling a long-anticipated turnaround driven by higher fuel, fertiliser and transport costs.

Oil prices defy the usual downward outlook

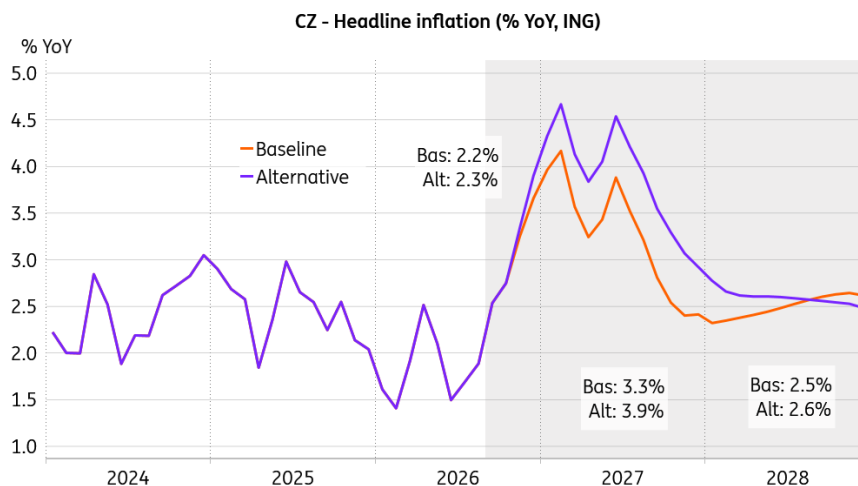


Source: ING, Macrobond

Well, energy prices rule them all, so we present both a baseline and alternative outlook for Brent crude prices, adjusting natural gas prices in a similar fashion. The thing is that we have repeatedly hoped for a sustainable softening in oil prices since March and never actually got it. So we want to gain a better understanding of the scenario in which no substantial and

prolonged decline occurs. Our baseline inflation forecast is shaped by Brent crude prices remaining above \$100/bbl in September and October but gradually receding thereafter to just above \$80/bbl by mid-next year. Meanwhile, we examine what is likely to happen to headline inflation and its subcomponents should – for whatever reason – the Brent crude price remain well above \$90/bbl for an extended period, say until late-2028.

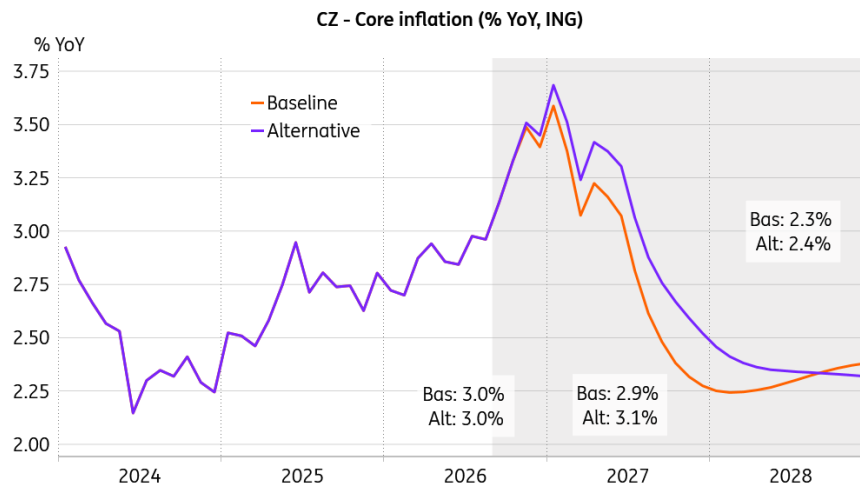
Many factors point towards punchy 2027 inflation



Source: CZSO, ING, Macrobond

Considering next year's headline inflation, many items point in the same direction, be it the renewed regulated and food price growth, persistently strong fuel prices, stubborn core inflation, or the effect of a low 2026 comparison base. Should energy prices evolve in line with our baseline scenario, headline inflation would average 3.3% next year and core inflation at 2.9%. We take the position that the window for domestic energy distributors to purchase the underlying commodity at a reasonable price has not really opened since March, so we expect regulated prices to rise around 4% next year. That said, we will receive more information about price plans in the regulated segment over the coming months, with January's monthly price adjustment being notoriously hard to gauge.

Core inflation set to remain stubborn



Source: CNB, ING, Macrobond

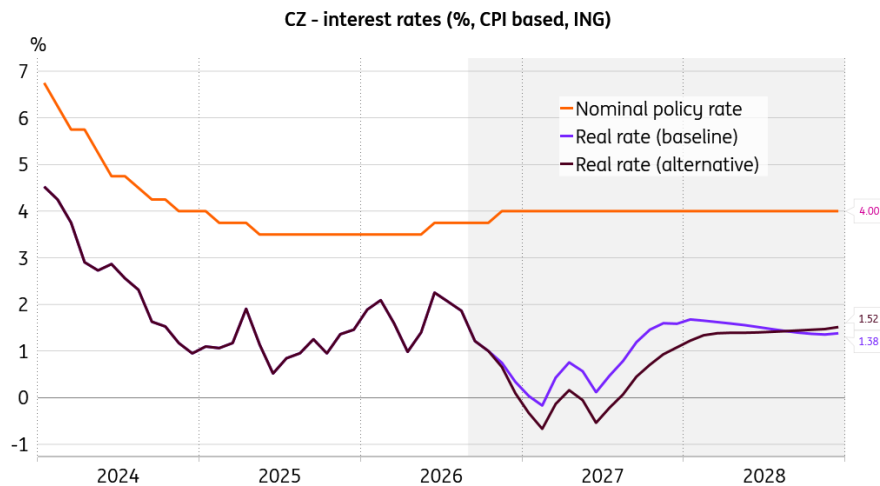
Considerable uncertainty surrounds January's adjustments to regulated prices, including electricity, natural gas, heating and water charges, as well as the trade-off between mandatory and discretionary spending, which could weigh on core inflation. Nevertheless, should global energy prices remain elevated for an extended period, such as in our alternative scenario, we see headline inflation averaging just below 4% next year with the core rate at 3.1%. That is quite a different story, as households' compulsory expenditure would absorb a much larger share of their budgets, while the perception of inflation returning could prompt consumers to hit the brakes on spending either for precautionary reasons, or just because it will be harder to make ends meet for medium- and low-income earners.

Everyone tilts towards tighter monetary policy

When considering the nominal interest rate path (including one hike) and the inflation profile, real interest rates would remain close to the zero-bound up until mid-next year even in our baseline scenario for headline inflation. Should oil prices remain higher for longer, real rates would likely drift into negative territory for a longer period, as our alternative scenario suggests. And we know that the governor and other board members are not big fans of negative real interest rates. We've always agreed on this.

That said, the European Central Bank's real interest rate has remained negative since March, the Federal Reserve's real interest rate has flirted with zero since April, and we see what has happened. Indeed, the era of deeply negative real borrowing costs is clearly behind us. We take the stance that the CNB's inclination for positive real rates will ultimately prevail in November, especially if the koruna's weakness no longer helps to dampen imported inflation. At this stage, this is set to be a one-and-done tightening move, also because the real interest rate is set to climb through the second half of next year.

Real interest rates set to flirt with the zero-bound



Source: CNB, ING, Macrobond

Our market view

The CNB press conference struck a dovish tone relative to market pricing, as expected, but signalled a "no-change" stance compared to the August meeting. The CNB Board remains open to further rate hikes, yet sees no need to rush at this moment. While the initial market reaction was dovish, rates ultimately ended the day unchanged from pre-decision levels. The CNB outlook remains a mixed bag; four rate hikes are still priced in, and the yield curve saw only slight steepening. Looking ahead, we anticipate the CNB adopting a more hawkish stance in the coming weeks and months. This should shift the curve from steepening to flattening and support the currency. EUR/CZK briefly touched 24.350 today but closed lower. For now, the 24.300–24.350 range appears fair, though we expect a stronger US dollar to push the pair higher in the coming days. However, September inflation data, due in early October, could mark a turning point; headline figures exceeding the CNB's forecast for the first time in a while might trigger more hawkish commentary from the central bank.

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Article | 17 September 2026

HUNGARY

National Bank of Hungary preview: Don't lose all hope for cuts

Following the NBH's mini rate-cut cycle seen during the summer months, we believe that a temporary pause is imminent. The inflation picture is still supportive, but the combination of growing external inflation risk and the expected announcement of a lower inflation target has dashed hopes of a rate cut.



The National Bank of Hungary is expected to stay on hold at its 22 September meeting, but we still forecast further cuts before the end of the year.

Our call

Following the commitment made at the start of the summer, the rest of the season brought no surprises, with the National Bank of Hungary (NBH) delivering the three previously promised interest rate cuts in line with expectations. During this period, central bank representatives repeatedly stated that the decision on whether to continue cutting rates would be made in light of the September Inflation Report. Based on this, we are once again facing an open-ended decision in September. Although inflation continues to develop favourably, we believe that, given the expected announcement of a reduction in the inflation target and geopolitical risks, the Monetary Council will keep the base rate at 5.50% in its decision on 22 September to maintain tight monetary policy.

Looking ahead, Governor Mihály Varga said that the next key moment for monetary policy would be the September Inflation Report and its updated staff projections. We think that, when the time comes, the central bank will present a trajectory of inflation affected by geopolitical developments. Therefore, despite the positive surprises in recent months' inflation figures, we expect the inflation path to be revised upward over the monetary policy horizon based on the expected effects of higher energy prices and hotter imported inflation. The NBH's room for manoeuvre will also be limited due to ongoing geopolitical pressure.

In addition, the ECB raised rates by 25bp in September, narrowing the interest rate differential with Hungary. We also expect the publication of the NBH's previously announced review of the optimal inflation target. In our view, the review will ultimately support lowering the current 3% target to 2%, implemented in two stages over the coming years.

In our base case, we still forecast further cuts before the end of the year, based on the assumption that local developments in Hungary could open the door to two more 25bp moves. We believe that Hungary will receive further structural market support following the publication of the new mid-term budget plan, expected in October. That said, risks are rising as energy prices, bond yields and the recent weakening of the forint apply more pressure.

Even so, we think a terminal rate of 5.00% by the end of the year would still provide a sufficient risk premium and maintain a positive real interest rate, helping preserve market stability. We acknowledge, however, that this view is highly speculative and depends on favourable outcomes regarding fiscal planning, developments in EU funding and the resilience of corporate pricing power.

Our market views

Hungary remains the key CEE story, with by far the largest long positioning across asset classes, driven by the idiosyncratic post-election narrative and prospects for euro adoption. However, the recent surge in global energy prices has again highlighted Hungarian assets' high beta to global markets, reflecting both the economy's exposure to energy costs and crowded positioning. Rate expectations have consequently repriced sharply higher over the past two months, reinforced by reports that the NBH may pause rate cuts to strengthen the case for lowering its inflation target.

The front end now prices less than one full cut, a view that may be tested next week. If energy prices continue to rise, markets could begin pricing rate hikes, as elsewhere in CEE, despite our forecast for cuts later this year. By contrast, a lower inflation target should support the long end, pointing to further flattening even though the curve is already inverted. The forint should also benefit from a more hawkish NBH: both a pause and a lower inflation target would signal tighter policy for longer and enhance carry appeal. Still, the domestic story is having limited market impact, and a sustained rally in FX and fixed income is unlikely without some relief in global energy prices.

Some background

The August inflation print brought the disinflationary period to an end, but inflation rose by just 0.1ppt despite the global energy price shock triggered by recent geopolitical events. The forint has weakened since the publication of the last Inflation Report. We still expect inflation to remain below target through the end of the year, although upside risks are clearly growing. The first hard data release for the third quarter painted a positive picture; we do not, however, expect economic growth to accelerate to a pace that could be considered overheating.

The rising global risk aversion certainly doesn't support the currency, but local developments can largely offset this. This is reflected in the forint's resilience. While it has given back some of its earlier gains, it has proved more resilient during the recent global sell-off than in previous years. It is currently hovering around the levels seen at the previous rate-setting meeting, at around 364. The same can be said of Hungarian government bond yields; they have risen since the beginning of the summer but at a relatively moderate pace.

Looking at the local story, two main factors are currently driving the markets: expectations regarding the lowering of the inflation target and the expected introduction of the medium-term budget. Both will provide new information about a potential path to adopting the euro. The key question is whether these documents will be credible. If so, convergence towards the eurozone will be priced in even further. This could give the NBH more room for manoeuvre, and lower refinancing costs could ease the pressure on the budget.

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Article | 17 September 2026

FX

FX Daily: As hawkish as it gets

The dollar can count on a stronger floor after the Fed raised rates and signalled another hike is likely by year-end. EUR/USD downside risks remain, with oil prices and risk sentiment in the driver's seat. The Bank of England should keep rates on hold today and can err on the dovish side with communication. A BoJ hike tomorrow may not help the yen structurally



The dollar rallied across the board following Wednesday's Fed hike

➔ USD: On a structurally stronger position

Everything about [yesterday's FOMC meeting](#) was hawkish. The widely expected 25bp hike was accompanied by a dot plot showing strong consensus for another hike this year. Out of 18, 12 members project one more increase and four project two more this year. Incidentally, growth and inflation projections were revised higher and unemployment lower. Chair Kevin Warsh didn't give much away in the press conference, but reiterated a strong commitment to price stability and didn't seem to indicate that policy is restrictive at current levels. In his own words, the Fed simply reduced a "dose of accommodation".

Despite hawkish pre-meeting bets, all of that still triggered a 10-12bp jump in the two-year USD swap rate. Market pricing for October is 13bp and for December 32bp.

The dollar rallied across the board, with DXY up 0.6% and at a two-month high. We think risks are more balanced for USD now that the monetary policy boost has been absorbed, but they remain tilted to the upside in the near term. First, because such a hawkish message means – in our view – markets are given the freedom to fully price in October for the next move should data come in hot and/or oil prices rise further. Second, because the pledge of monetary discipline raises the bar for a return of the debasement trade. Third, because oil prices still make for a supportive external environment for the dollar.

Our baseline call for the coming months remains one of stabilisation around current ranges first and a softer dollar then into year-end, but is heavily reliant on a de-escalation in the Gulf. As long as oil remains supported, it's hard to argue against the bullish USD momentum.

This morning, Asian G10 currencies are leading a small rebound, primarily driven by a recovery in US equity futures. The yen has behaved better than other low-yielders after the Fed hike, suggesting some reluctance to add JPY shorts to tomorrow's Bank of Japan decision. As we discuss in our [preview](#), the bar for a hawkish surprise there is fairly high – even more so after the Fed's message. Our baseline remains for USD/JPY to find support above 155 and stabilise around 156-157 in the coming weeks.

Francesco Pesole

➔ **EUR: Short-term fair value plummeting**

We expected a hawkish Fed could take us to 1.150, but the meeting exceeded our expectations and prompted a big break lower in EUR/USD. The two-year swap rate differential widened by 15bp to the widest since July, when EUR/USD was exploring sub-1.14 levels.

Surely, the ECB's own hawkish message is offering better support to the euro, but oil prices are much higher than two months ago. Our model now shows a short-term fair value at 1.150, 1% lower than a week ago.

Further moves in front-end rates, oil or global equities can quickly push that fair value lower. So downside risks persist, and there is little (especially eurozone-born) – outside of a correction in energy prices – that is likely to turn the tide for EURUSD at this stage. There is, incidentally, no strong technical support in sight before the 1.132-1.135 area, which marked the bottom of the summer.

Francesco Pesole

⬇ **GBP: BoE a laggard in a hawkish world**

We [expect](#) the Bank of England to leave rates unchanged at 3.75% today, with another 6-3 vote split, fully in line with consensus. Pricing is only 2bp for today, but 41bp by year-end and 93 by July 2027.

While three members are likely to continue voting for a hike, we see little evidence that the six doves are moving in that direction. In fact, several policymakers have become increasingly confident that the latest energy shock will not generate the sort of second-round inflation effects seen in 2022, a view that was broadly endorsed by August's CPI report.

The main question for the meeting is therefore not whether the hawks will keep calling for tighter policy, but whether Governor Andrew Bailey signals any discomfort with market pricing.

We expect these dovish risks to feed into a weaker sterling against the dollar and the euro. EUR/GBP remains our preferred way to play that GBP weakness beyond the near term, and we target 0.87 by year-end.

Francesco Pesole

📌 **CEE: Dollar strength keeps regional currencies under pressure for longer**

Yesterday's Fed meeting was clearly negative for emerging markets. A stronger US dollar is likely to keep weighing on EM currencies, outweighing the late-session decline in gas prices and leaving the overall balance tilted to the downside. We therefore expect further weakness across CEE and have become more bearish on the region over the medium term. With no sign of an imminent easing in the US-Iran conflict or a sustained fall in global energy prices, CEE currencies are likely to remain under pressure until regional central banks begin hiking rates or geopolitical risks subside.

After yesterday's EUR/PLN spike, which far exceeded our bear expectations, the zloty may stabilise before the pair moves higher again. EUR/HUF appears more vulnerable, with current global conditions leaving room for further upside ahead of next week's NBH meeting. A hawkish decision, such as pausing rate cuts and lowering the inflation target, could, however, offer some support to the forint.

Today, attention turns to the CNB meeting, where rates are expected to remain unchanged at 3.75%. Although conditions across CEE have shifted markedly in recent days, we expect the CNB to wait before changing its tone. The outcome is therefore likely to be dovish relative to market pricing, which currently implies more than four rate hikes. EUR/CZK enters the meeting just above 24.300, in line with the expectations in [our CNB preview](#) published last week. A dovish message, combined with adverse global factors, should push the pair higher and could take it above 24.350 today.

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Article | 16 September 2026

RATES SPARK

Rates Spark: US 10yr likely gets above and stays above 5% ahead

Chair Warsh delivered on the market discount, and yes indeed, did so after all the talk that this Fed would do things differently. It was still an eloquent performance. But it won't rescue the back end of the curve. We identify 5.25% as a next target for the US 10yr yield. Over to the Bank of England next



The Fed raised rates by 25bp. We maintain our bearish stance on long bonds and see the UST 10yr yield heading toward 5.25%

The Fed calms the back end, but we'd not be getting too comfortable on it ahead

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

Markets too hawkish on Bank of England, but oil pushes against us

The Bank of England (BoE) is next, and even though we see significant potential for a dovish repricing in sterling rates, we don't see that happening in the near term. We expect the [BoE to hold](#) rates steady for the time being and even see scope for cuts in 2027. In contrast, markets see the BoE hike almost four times over the next year, more so than the European Central Bank and the Federal Reserve. Trading against markets is challenging, however, given the strong correlation with oil. A \$10/bbl increase in oil pushes up the 2Y GBP swap rate by some 15bp.

With oil staying in the driving seat for sterling rates, the BoE is unlikely to trigger a drastic turn for now. The [latest inflation data](#) does not show concerns about second-round inflation effects. One could argue the same for the ECB, even though it did pursue a rate hike last week. But compared to the ECB, with a Bank Rate of 3.75%, monetary policy in the UK is arguably already in contractionary territory. Meanwhile, job numbers reflect a cooling economy, so the inflation pass through to wages should be limited. As such, we don't expect the Bank of England narrative to turn more hawkish as we witnessed at the Fed and ECB.

We think 10Y gilt yields should also come down in 2027 as markets reprice inflation risks, but upward pressure on longer-dated gilts can sustain. Global supply pressures in the form of government spending, quantitative tightening (QT) and AI issuance can continue to increase longer-dated rates. We'll therefore also be watching for revisions of the Bank of England's pace of QT, which we think has had a [significant contribution to higher gilt yields](#).

Our baseline is for a decrease in the pace of QT from £70bn to £50bn, since this would approximately keep active sales constant. These numbers are in line with consensus. We do see a small chance that the Bank of England slows the pace by more, or even halt the active sale entirely for longer maturities. The argument would be that the balance sheet has already shrunk enough and the private demand for longer maturities has fallen. This could benefit longer-dated gilts and help tighten the spread between gilts and swaps.

Thursday's events and market view

The BoE is the main event of the day with markets seeing only marginal chances for the Monetary Policy Committee to decide on a hike – some 2bp are discounted, equivalent to a roughly 10% probability of a hike.

Ahead of the BoE we will hear from a number of ECB speakers, with Chief Economist Lane, France's Moulin and Finland's Rehn slotted for the day. The eurozone will also release final CPI data for August. The US will release the weekly jobless claims data and housing-market-related data: building permits, housing starts and pending home sales.

In primary markets, Spain will auction 6y, 8y and 10y bonds (€6bn), while France auctions 3y to 6y bonds (up to €13bn) as well as a new 11y inflation-linked bond (up to €2.5bn). The US auctions 10y TIPS (US\$19bn).

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Article | 16 September 2026

FX

FX Daily: Consensus Fed hike can still lift USD

Markets are fully expecting a 25bp hike to 4.0% today, and a surprise hold or strong dovish dissent could have a materially negative impact on the dollar. But that's a small risk, as the FOMC is likely mindful of any adverse Treasury-market implications. Openness to further hikes by Warsh can leave the dollar broadly supported



A Federal Reserve hike of 25bp is widely expected today

↑ **USD: Warsh can give dollar a bit more help**

We [expect](#) the Fed to raise rates by a consensus 25bp to 4.0% today. Markets are pricing in 23bp for today, 52bp by year-end, and 89bp by June. A surprise hold would likely deliver a big blow to the dollar: both through the dovish repricing in front-end rates and a likely selloff in the back end. The Fed is likely well aware of that risk for Treasuries, which should keep the probability of a hold low.

That, in our view, also argues for a hawkish message. A dovish hike may not be enough to convey the monetary policy discipline bond investors currently demand, particularly given the amount of tightening already priced into swaps. Recent bond market headlines may even have helped bring some FOMC members behind a hike, reducing the likelihood of visible dissent, at least for now.

If anything, the new economic projections pose some risk of dovish disappointment. Inflation may be revised slightly lower, while our economists expect the median dot plot at 4.0% in both 2026 and 2027, well below market pricing. Even so, we think Chair Kevin Warsh's press conference will be the key driver of the market reaction. Any openness to further tightening can support the dollar by reinforcing policy credibility and countering any debasement trade risk premium.

Incidentally, the external picture argues against building sizeable USD shorts at this stage. Brent is aiming for \$110/bbl, as Iran-Gulf negotiations are delayed again, and softness in tech stocks is weighing on overall sentiment. These conditions suggest markets are more likely to fade a negative dollar reaction to the Fed today, unless triggered by a significant dovish surprise, rather than a positive one.

Before the Fed, the August US retail sales release is also due. However, with such a major risk event looming, we expect a relatively muted market response.

Francesco Pesole

↓ **EUR: 1.150 test can come sooner than later**

Today's Fed announcement can take EUR/USD closer, if not all the way, to our 1.150 target. We are not ready to call an imminent end to the decline given the energy price backdrop, but below 1.150 the risks should become more balanced from a technical/short-term valuation perspective. Short-term rate differentials wouldn't accommodate big moves lower, and the risks of any political/domestic risk premium build-up appear more concentrated on the US ahead of the midterms than the eurozone (even though the French budget is a concern).

Looking a bit further ahead, our macroeconomists' calls for no further hikes by both the Fed and ECB imply room for sharp dovish repricing in both the EUR and USD curves. A coordinated move lower in front-end rates can put a floor under EUR/USD, as would likely happen alongside a decline in energy prices. Lower USD funding costs usually have a positive knock-on effect on global sentiment.

Elsewhere, EUR/GBP is trading a tad higher this morning after UK inflation figures printed in line with consensus. Headline CPI accelerated from 2.9% to 3.1% in August, but there is still no evidence of accelerating inflation in core and services. That's something Bank of England doves can cling to [tomorrow](#), tilting the balance to a more dovish message relative to very hawkish market expectations. We still target a return above 0.860 in EUR/GBP in the coming days.

Francesco Pesole



NZD: Growth slowdown can curb hawkish pricing

New Zealand published second-quarter GDP data overnight. Expectations are for a material growth slowdown to just 0.1% QoQ after a strong first quarter (0.8%). Those figures play a secondary role for the Reserve Bank relative to inflation and jobs, but given the low (quarterly) frequency of key data releases, the market impact can be magnified.

At its September meeting, the RBNZ delivered a dovish surprise, signalling there is only room for another 25bp to 3.0%. That should not be taken as a commitment, and the longer energy prices remain elevated, the higher the chances of upward revisions in policy projections by year-end.

Our call remains for the next and last hike in December, but chances of an October move are increasing, with markets pricing in around 65% probability. Tomorrow's GDP can be an important input for those October expectations.

That said, NZD/USD remains primarily driven by global risk sentiment and US events. We think the decline has a bit further to go on a Fed hike and risk assets' fragility. For the moment, we see 0.570 as a bottom, though, with room to bounce back towards 0.59 as early as year-end on some dovish Fed repricing.

→ CEE: Energy risks limit the scope for an FX recovery

Today brings the first notable CEE data releases, although global repricing and elevated energy prices are likely to limit the local market impact. Poland's August core inflation is expected to edge up from 3.1% to 3.2%. Czech August PPI, the last data release before Thursday's central bank meeting, follows July's renewed acceleration. Hungary's July wage growth is also expected to accelerate, from 7.0% to 8.1%.

CEE markets stabilised yesterday after Monday's sell-off, with pricing settling at around five rate hikes each in Poland and the Czech Republic and just under one rate cut in Hungary. As noted yesterday, wider rate differentials should support FX, as reflected in the stabilisation of CEE currencies. However, gas and oil prices remain elevated, with little relief in sight. Given the region's high energy-price exposure, a sustained CEE FX rally appears unlikely. We therefore maintain our neutral view.

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